

FP&A; Analyst Decision Framework

A structured way to think through the problem — not a transcript of private model reasoning

Step 1 — Start with the decision

Management does not need a spreadsheet full of numbers. They need to know whether growth is healthy, whether costs are scaling efficiently, and what assumptions could change the next-quarter outlook.

Step 2 — Define the performance tree

Revenue → Gross Profit → Operating Expenses → Operating Income. Then add operating indicators such as GMV and MRR where they help explain revenue. This creates a simple driver tree.

Step 3 — Compare like with like

Use Q2 2026 versus Q2 2025 for YoY analysis. Avoid comparing a quarter with a full year. Use margins to separate growth from efficiency.

Step 4 — Find the signal

Revenue grew 34%, gross profit 31%, operating expenses about 21%, and operating income 68% in Q2 2026 versus Q2 2025. The important signal is not just 'revenue is up'; it is that operating income grew much faster because expenses became a smaller share of revenue.

Step 5 — Challenge the signal

Gross margin declined slightly, so the analyst should not conclude that every profitability driver improved. Ask why gross margin changed while operating leverage improved. This creates a better management question.

Step 6 — Build scenarios, not one forecast

Use a range because uncertainty is real. The scenario model changes revenue growth, gross-profit growth and OpEx discipline. This tells management what happens if growth is slower, normal, or stronger.

Step 7 — Identify the management actions

If revenue growth weakens, protect the highest-return growth investments. If OpEx rises faster than revenue, investigate hiring, marketing, R&D; and transaction-loss drivers. If gross margin compresses, investigate mix and cost of revenue.

Step 8 — Communicate the conclusion

A strong analyst conclusion has four parts: what happened, why it matters, what could change it, and what management should watch next.

Derived management-style conclusion

Q2 2026 shows strong top-line momentum and meaningful operating leverage. Revenue increased 34% YoY, while operating income increased 68%, and OpEx declined as a share of revenue. The main watch item is gross-margin pressure: gross margin was about 47.7% versus 48.6% a year earlier. For planning, the next-quarter question is whether Shopify can sustain low-thirties revenue growth while keeping OpEx around the guided 33–34% of revenue range. The scenario model makes that trade-off explicit.

Interview takeaway

Do not say: 'I made a dashboard.' Say: 'I built a refreshable FP&A; model that connected operating KPIs to profitability, evaluated operating leverage, and translated management guidance into scenario forecasts so decision-makers could see the range of outcomes.'